

and could just as easily be 500,000 cDAI. At that moment in the example, 1 cDAI is worth 4 DAI, but after more interest accrues in the market the ratio will change. If a trader comes in and deposits 1,000 DAI, the supply increases by 50 percent (Figure 6.4). Therefore, the Compound protocol mints 50 percent more cDAI (250 cDAI) and transfers this amount to the trader's account. Assuming an interest rate of 10 percent, at year end there will be 3,300 DAI, and the trader's 250 cDAI can be redeemed for one-third, or 1,100,

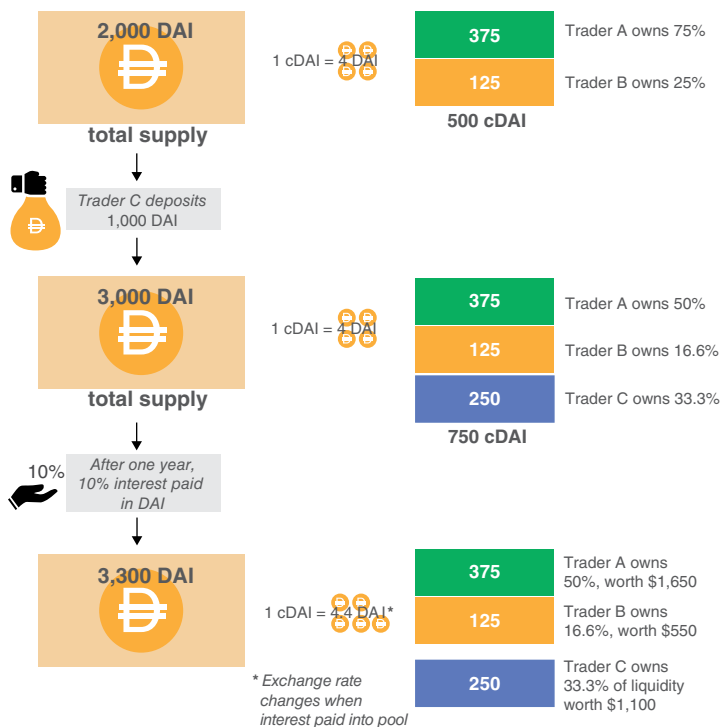


Figure 6.4 The Mechanics of Compound's Equity Token (cToken)